FINANCIAL DILIGENCE SUPPORT - RECORD 018

Helioscope Robotics, Inc. - diligence file reference FINANCE_SUPPORT-018

1. Basis of preparation and the control environment behind the numbers

Before any adjustment is proposed the reviewer records how the company assembles the figures being adjusted, because the weaknesses in that process explain most of the exceptions found. On testing,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. As matters stand,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter.

On reperformance,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. On the source,, bank reconciliations are prepared monthly and reviewed, but three months carry unexplained items that were carried forward rather than cleared. In review,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins. JE-26-0134 is a credit to expense of $96,800 posted on 2026-02-13. On the papers,, a research credit relating to two earlier years was credited to expense when the refund was received. On this credit to expense, the reviewer recorded that no comparable item was found in the two earlier periods examined. This credit to expense was prepared by M. Okonjo and approved by T. Vasquez. The credit study attributes the qualifying spend to earlier periods; the benefit was removed from the measured period.

On the merits,, the review period runs from 2024-01-01 to 2026-06-30, comprising two full financial years and a six-month stub, with the trailing twelve months to June 2026 used as the primary reference period. Per the index,, every schedule ties from a named source system extract to the reported figure through individually identified differences. In substance,, interim balances at 2026-06-30 have not been subject to a physical inventory count observed by the reviewer; the June count sheets were requested and only partially provided. On the evidence, the reviewer selected JE-24-1103, posted 2024-12-31 by T. Vasquez approved by M. Okonjo, for $74,900 and classified as a reversal of a prior accrual. On testing,, the FY2024 bonus accrual was reversed in full on the last day of the year following a board decision recorded only in an email. The reversal is factually supported but the reviewer treats the benefit as a timing item on the adjustment schedule. On this reversal of a prior, the reviewer's conclusion here differs from the position taken in the seller's own vendor material.

Read narrowly,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. On the source,, amounts are stated in United States dollars, with Canadian dollar balances of the Ontario deployment subsidiary translated at month-end rates taken from the company's own revaluation report. On the source,, the reviewer has not verified the completeness of the contract population beyond reconciling the contract register to the billing system and to recorded revenue. In detail, the log carries JE-24-0533, posted 2024-05-31 by M. Okonjo approved by T. Vasquez, for $120,000 and classified as a related-party entry. Per the register,, a flat monthly management fee to a founder-controlled entity was posted from a standing journal template. The reviewer reduced the add-back to the portion for which no continuing service was identified. On this related-party entry, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction.

2. Information request register at the date of this file

Each open item records the owner, the date requested, the date received where applicable, and the specific conclusion that remains qualified without it. On reperformance,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. As to the facts,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself.

IR-103 asks for change request pricing for the vantage additional units. The request for change request pricing for was raised on 2026-07-06 with the seller - commercial and nothing has been provided, leaving the item open. For change request pricing for, the item was tested twice, once in the revenue stream and once in the balance sheet stream, with the same result. On the source,, variable consideration arising after the cut-off cannot be estimated, so the post-cut-off revenue trend is qualified. IR-085 asks for commission plan documents for all sales roles. The request for commission

plan documents for was raised on 2026-07-01 with the seller - sales operations and material was provided on 2026-07-08, leaving the item closed. For commission plan documents for, the evidence was inspected in original form rather than as a management-prepared summary. In the event,, the plans supported the commission true-up and confirmed the accrual basis the reviewer applied. On reperformance, the seller - controller holds IR-027, billing system extract reconciled to the general ledger by month, requested 2026-06-19. Per the index,, the extract was reconciled and the residual monthly differences are immaterial and explained. On billing system extract reconciled, as at the date of this file material was provided on 2026-06-27 and the item is closed. For billing system extract reconciled, the conclusion rests on a document produced by a third party rather than by the company.

IR-014 asks for signed acceptance certificate for crestline site three. The request for signed acceptance certificate for was raised on 2026-06-18 with the seller - deployment lead and nothing has been provided, leaving the item open. For signed acceptance certificate for, the document inspected is dated before the cut-off, which is what makes the period attribution defensible. As matters stand,, without a dated certificate the transfer month rests on the installer's log, leaving a month of hardware revenue in the wrong period. Against the ledger, the seller - tax adviser holds IR-023, state nexus opinion supporting no sales tax filings, requested 2026-06-19. On the source,, the exposure remains a range until the opinion's scope is compared with the states in which field staff worked. On state nexus opinion supporting, as at the date of this file material was provided on 2026-07-02 and the item is received - under review. For state nexus opinion supporting, reperformance used the contractual rate rather than the rate management had applied. From the extract, the seller - hr director holds IR-063, contractor conversion offer letters and prior agency rates, requested 2026-06-26. Against the ledger,, employer tax and benefit loading on the converted population is still being confirmed, which affects the size of the run-rate deduction. On contractor conversion offer letters, as at the date of this file material was provided on 2026-07-07 and the item is received - under review. For contractor conversion offer letters, the reviewer confirmed that the same item does not also appear on the net debt schedule.

Read narrowly, the seller - operations holds IR-081, inventory count sheets for the june 2026 physical count, requested 2026-07-01. In the event,, count coverage of the spares pool cannot be confirmed, so inventory in the working capital peg rests on the perpetual records. On inventory count sheets for, as at the date of this file the response is partially received and the item is open. For inventory count sheets for, the reviewer compared the item with the equivalent balance in the prior period before reaching a view. In this stream, a further request, IR-096, confirmation of restricted cash release conditions, addressed to the seller - treasury and requested on 2026-07-03; the response is received - under review. The status is recorded as pending. By reference,, if release depends on milestones beyond closing the balance stays outside cash at closing. For confirmation of restricted cash, a second preparer reperformed the arithmetic and reached the same figure to the dollar. IR-034 asks for board minutes evidencing the december 2024 bonus decision. The request for board minutes evidencing the was raised on 2026-06-20 with the seller - company secretary and material was provided on 2026-07-08, leaving the item received - insufficient. For board minutes evidencing the, the item is presented gross so that a reader can rebuild the measure from reported results. In sequence,, the minutes record the decision but not the plan terms, so the reviewer relies on management's representation that the bonus remained available.

Taken alone, still unresolved is IR-074, pto liability rollforward by employee band, addressed to the seller - hr director and requested on 2026-06-30; material was provided on 2026-07-10. The status is recorded as closed. On reperformance,, the rollforward supported both the accrual movement adjustment and the split treatment in net debt. For pto liability rollforward by, the reviewer left the amount unchanged after review but strengthened the evidence reference. IR-067 asks for supplier settlement letter for the harness rework recovery. The request for supplier settlement letter for was raised on 2026-06-29 with the seller - procurement and material was provided on 2026-07-02, leaving the item closed. For supplier settlement letter for, the reviewer left the amount unchanged after review but strengthened the evidence reference. At the cut-off,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis. On this point, the register carries IR-038, warranty claim detail by chassis generation, addressed to the seller - service manager and requested on 2026-06-23; material was provided on 2026-07-01. The status is recorded as closed. In review,, the detail supported the recalculated accrual rate and the adjustment was agreed at the lower of the two estimates. For warranty claim detail by, a second preparer reperformed the arithmetic and reached the same figure to the dollar.

Schedule 18.1 - Information request register

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
IR-014	Signed acceptance certificate for Crestline site three	Seller - deployment lead	2026-06-18	Not received	Open	Without a dated certificate the transfer month rests on the installer's
IR-019	Retention agreements underpinning the Larkspur earn-out	Seller - counsel	2026-06-18	Partially received	Open	The split between fixed deferred consideration and retention-contingent
IR-023	State nexus opinion supporting no sales tax filings	Seller - tax adviser	2026-06-19	2026-07-02	Received - under review	The exposure remains a range until the opinion's scope is compared with
IR-027	Billing system extract reconciled to the general ledger	Seller - controller	2026-06-19	2026-06-27	Closed	The extract was reconciled and the residual monthly differences are imma
IR-034	Board minutes evidencing the December 2024 bonus decisio	Seller - company secretary	2026-06-20	2026-07-08	Received - insufficient	The minutes record the decision but not the plan terms, so the reviewer
IR-041	Engagement letters for all adviser fees in the period	Seller - finance director	2026-06-23	Partially received	Open	Two invoices remain unsupported, so the split between transaction and or
IR-049	Customer credit and unapplied cash listing at 2026-06-30	Seller - credit control	2026-06-24	2026-07-03	Closed	The listing supported the customer credit balance treated as debt-like a
IR-052	Bank statements for the Ontario subsidiary for the full	Seller - controller	2026-06-25	Partially received	Open	Two months are missing, so cash proof coverage for the subsidiary is bel
IR-056	Payroll register reconciled to the general ledger by mon	Seller - payroll manager	2026-06-25	2026-07-09	Closed	The reconciliation supported the compensation analysis and the annualiza
IR-059	Hosting agreement effective 2026-04-30 with the rate car	Seller - IT director	2026-06-26	2026-06-30	Closed	The agreement supported the contractual portion of the hosting savings a
IR-063	Contractor conversion offer letters and prior agency rat	Seller - HR director	2026-06-26	2026-07-07	Received - under review	Employer tax and benefit loading on the converted population is still be
IR-071	Aged unbilled receivable detail with billing triggers	Seller - project accountant	2026-06-29	Not received	Open	Without billing triggers the reviewer cannot distinguish unbilled amount
IR-074	PTO liability rollforward by employee band	Seller - HR director	2026-06-30	2026-07-10	Closed	The rollforward supported both the accrual movement adjustment and the s
IR-081	Inventory count sheets for the June 2026	Seller - operations	2026-07-01	Partially received	Open	Count coverage of the spares pool cannot be

Request	Description	Owner	Requested	Received	Status	Effect if unresolved
	physical count					confirmed, so inventory in t
IR-085	Commission plan documents for all sales roles	Seller - sales operations	2026-07-01	2026-07-08	Closed	The plans supported the commission true-up and confirmed the accrual bas
IR-092	Lease agreements and amendments for all leased premises	Seller - counsel	2026-07-02	2026-07-09	Closed	The Fremont amendment supported the abatement normalization and the stra
IR-096	Confirmation of restricted cash release conditions	Seller - treasury	2026-07-03	Received - under review	Pending	If release depends on milestones beyond closing the balance stays outsid
IR-107	Detail of the FY2026 discretionary bonus by participant	Seller - HR director	2026-07-06	Partially received	Open	The pre-closing service period allocation supporting debt-like treatment
IR-111	Support for the liquidated damages waiver on Redbank	Seller - commercial	2026-07-07	2026-07-13	Received - under review	The amendment accounting remains open, and both the accrual and the waiv
IR-115	Vendor statements for the ten largest suppliers	Seller - accounts payable	2026-07-07	Partially received	Open	Accrual completeness testing coverage falls below the planned level for

3. What remains unverified at the date of this file

The reviewer has not tidied away the unresolved items; each is recorded with the conclusion it affects and the evidence that would close it. Against the ledger,, consolidation covers the parent and the Ontario deployment subsidiary; the dormant Delaware holding entity has no activity in the period and was excluded after inspection of its trial balance. Per the workpaper,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete.

Taken alone,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope. In the event,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. In the event,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. IR-052 asks for bank statements for the ontario subsidiary for the full period. The request for bank statements for the was raised on 2026-06-25 with the seller - controller and the response is partially received, leaving the item open. For bank statements for the, the item was selected for testing because of its characteristics rather than its size. In sequence,, two months are missing, so cash proof coverage for the subsidiary is below the level applied to the parent.

On any view,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete. Against the ledger,, post-cut-off trading was reviewed only to July 2026 and only for evidence bearing on balances at the cut-off; it is not a basis for any forward projection. On inspection,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. Per the register, the seller - revenue accountant holds IR-031, standalone selling price analysis for bundled northfield contracts, requested 2026-06-20. Against the ledger,, allocation for the bundled contracts cannot be independently tested, so the revenue split between obligations is unverified. On standalone selling price analysis, as at the date of this file nothing has been provided and the item is open. For standalone selling price analysis, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given.

Per the workpaper,, ranges are used where evidence supports a range, and the low end of a range is used when the reviewer must choose a single figure for a schedule. By reference,, contract amendments are stored in a shared drive without a register, so the reviewer built the amendment population from the contract files themselves. On the papers,, no financial statement for any period in scope has been audited; FY2024 and FY2025 were subject to a review engagement and the 2026 stub has had no external involvement at all. IR-092 asks for lease agreements and amendments for all leased premises. The request for lease agreements and amendments was raised on 2026-07-02 with the seller - counsel and material was provided on 2026-07-09, leaving the item closed. For lease agreements and amendments, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. On the record,, the Fremont amendment supported the abatement normalization and the straight-line recomputation.

As to the facts,, the engagement is analytical and evidence-based rather than an audit, a review or an examination, and no opinion or assurance conclusion is expressed on any period or balance. Per the register,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only. Read narrowly,, where a projection of error is made, it rests on the sample basis stated in the relevant schedule and is presented as a range rather than as a single figure. IR-067 asks for supplier settlement letter for the harness rework recovery. The request for supplier settlement letter for was raised on 2026-06-29 with the seller - procurement and material was provided on 2026-07-02, leaving the item closed. For supplier settlement letter for, the reviewer declined to net this item against another with an opposite direction in the same period. Taken alone,, the letter confirmed the recovery amount and allowed the campaign to be presented on a net basis.

Schedule 18.2 - Working capital peg sensitivity

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
Trailing twelve-month average	All trade and other working capital	Cash, debt, deferred consideration	3,680,738	209,840	Rejected as too sensitive to a single month
Trailing six-month average	All trade and other working capital	Cash, debt, deferred consideration	2,961,979	(508,919)	Consistent with the draft agreement
Quarter-end average of four quarters	Trade balances only	Prepaid transaction costs	3,946,943	476,045	Adopted as the reference definition
Month-end average excluding December	All trade and other working capital	Seasonal December inventory build	3,660,659	189,761	Not supportable without the missing count sheets
Trailing twelve months excluding deferred revenue	Trade balances and inventory	Deferred revenue, customer deposits	2,834,215	(636,683)	Presented for sensitivity only
Trailing twelve months excluding unbilled	Trade balances and inventory	Unbilled receivables	3,121,637	(349,261)	Rejected as too sensitive to a single month
Median of trailing twelve month-ends	All trade and other working capital	Cash, debt, tax balances	3,915,167	444,269	Rejected as too sensitive to a single month
Latest three months average	All trade and other working capital	Cash, debt, tax balances	4,160,022	689,124	Presented for sensitivity only
Trailing twelve months, revolver excluded	All trade and other working capital	Revolver borrowings	3,978,367	507,469	Adopted as the reference definition
Trailing twelve months, PTO excluded	All trade and other working capital	Unfunded paid time off	4,079,962	609,064	Preferred by the seller
Trailing twelve months, credits excluded	All trade and other working capital	Customer credits owed	2,814,809	(656,089)	Rejected as too sensitive to a single month
Trailing twelve months, bonus excluded	All trade and other working capital	Accrued discretionary bonus	3,352,701	(118,197)	Presented for sensitivity only
Trailing twelve months, gross basis	All balances including intercompany	None	2,960,613	(510,285)	Rejected as too sensitive to a single month
Trailing twelve months, Ontario excluded	Parent company balances only	Ontario subsidiary balances	3,558,491	87,593	Preferred by the seller
Seasonally adjusted twelve-month	All trade and other working capital	Cash, debt, seasonal peak	3,114,417	(356,481)	Rejected as too sensitive to a single

Definition variant	Included	Excluded	Computed level ($)	Difference vs reference ($)	Comment
average					month
Contractual definition as drafted	As listed in the draft definition	As listed in the draft definition	3,332,212	(138,686)	Rejected as too sensitive to a single month

4. Management representations relied upon and their support

The reviewer separates representation from evidence because a buyer negotiating on this record needs to know which conclusions would survive an audit. By reference,, adjustments are presented gross with their direction stated, rather than netted, so that a reader can rebuild the measure from reported results. In sequence,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger.

On the documents,, legal accruals rest on counsel's written estimates rather than on invoices, and the reviewer has not independently assessed the likely outcome of any matter. In sequence,, segregation between preparer and approver was not enforced until the November 2024 workflow change, and self-approved entries appear on both sides of that date. On the record,, subsequent events to 2026-07-16 were reviewed only for their bearing on balances and periods within scope. In review, management proposed ADJ-39 at $112,500 for H2-2025, described as legal settlement with a former contractor. On the balance,, a wage classification claim brought by a former field contractor settled in November 2025 for a single payment with no continuing obligation. Legal settlement with a was accepted at $112,500: the settlement agreement releases all claims and counsel confirmed no related matters remain, so no recurring cost follows. Legal settlement with a carries a recurrence judgment of non-recurring, and the supporting file is the settlement agreement, counsel's closing memorandum and the payment advice. On Legal settlement with a, the file records the question asked, the answer given and the document that settled it.

In the event,, management represented that the retention-contingent portion of the deferred consideration is genuinely contingent, and the retention agreements have only partly been provided. On testing,, management represented that no bonus was payable for FY2024 following a board decision, and the minutes provided record the decision but not the terms of the plan itself. On the evidence,, the review period runs from 2024-01-01 to 2026-06-30, comprising two full financial years and a six-month stub, with the trailing twelve months to June 2026 used as the primary reference period. By agreement, management proposed ADJ-09 at $1,247,300 for LTM Jun-2026, described as stock compensation expense. By reference,, non-cash share-based compensation measured under FASB ASC Topic 718 is removed to reach a cash earnings measure, consistent with how the lenders in the process model the business. Stock compensation expense was accepted at $1,247,300: the expense agrees between the equity administrator's report and the general ledger, and no portion was settled in cash during the period. Stock compensation expense carries a recurrence judgment of normalization, and the supporting file is the equity administrator's expense report reconciled to the payroll and equity ledgers. On Stock compensation expense, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly.

On a second read,, certain amounts described here as agreed were agreed with management during fieldwork and have not been re-presented in a revised set of financial statements. By agreement,, the engineering ticket population supporting capitalization decisions was provided in extract form and the reviewer could not confirm that the extract is complete. In this stream,, the close calendar allows entries after the close is declared complete, and post-close entries appear in five of the ten quarter ends reviewed. Against the ledger, diligence proposed ADJ-28 at $88,500 for FY2025, described as supplier recovery on the harness defect. On the merits,, the supplier settled part of the rework campaign cost, and the recovery was credited to cost of sales in the same year the scrap arose. Supplier recovery on the was accepted at $88,500: the reviewer paired the recovery with the scrap add-back so the campaign is presented on a net basis rather than only in the direction that helps. Supplier recovery on the carries a recurrence judgment of non-recurring, and the supporting file is the supplier settlement letter and the credit applied against open payables. On Supplier recovery on the, the conclusion is stated at the low end of the supportable range, as the file convention requires.

Against the ledger,, warranty accrual rates had not been refreshed since 2023 because no owner was assigned to the review of the underlying assumption. On its facts,, the reviewer worked from the statutory ledger throughout; where management's own adjustments had been posted into the ledger they were reversed before analysis rather than accepted as reported. On a second read,, where an exception is identified, the reviewer states the population, the value tested, the

coverage achieved and the projected effect before proposing any adjustment. In the event, the schedule carries ADJ-18, Inventory obsolescence charge on the first-generation chassis, which adds back $267,500 against FY2024 on a non-recurring basis. As matters stand,, an engineering change notice retired the first-generation chassis and management wrote down the remaining stock in a single charge. Support consists of the obsolescence provision workpaper and the engineering change notice, and the item was put forward by management. Inventory obsolescence charge on was reduced at $168,000: the reviewer treated the portion attributable to routine slow-moving stock as recurring and added back only the step change caused by the design retirement. On Inventory obsolescence charge on, a sensitivity was run on the principal assumption and the range is disclosed in the accompanying schedule.

Schedule 18.3 - Net debt and debt-like item schedule

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
Accrued discretionary bonus - FY2026 plan	642,800	Debt-like	The bonus relates to performance in periods before closing and would b	The plan is discretionary and the board has withheld payment before, m	Treated as debt-like on the basis that the service period is pre-closi
Accrued employer payroll taxes on the bonus	84,600	Debt-like	The payroll tax follows the bonus and is an unavoidable incremental ca	The seller argues payroll taxes are ordinary course and belong in accr	Treated consistently with the bonus itself and excluded from the worki
Accrued interest on the equipment facility	24,600	Funded debt	Interest accrued to the measurement date is part of the amount require	The amount is small and management would ordinarily leave it in accrue	Treated as debt with the principal so the retirement amount is complet
Customer credits and unapplied cash owed	196,400	Debt-like	These are amounts the company owes customers for overpayments and serv	Management argues most balances are resolved within a quarter through	Treated as debt-like where the customer has requested a refund, and le
Deferred consideration - Larkspur Controls acq	486,500	Deferred consideration	The remaining instalment is a fixed obligation payable in January 2027	Management asserts part of the balance is contingent on the retention	The fixed instalment is treated as debt; the retention-contingent port
Deferred rent incentive on the Fremont lease	142,600	Non-debt	The balance is a liability on the face of the balance sheet and reduce	It represents an accounting allocation of a landlord incentive rather	Excluded from net debt and from the working capital peg to avoid disto
Deferred revenue on undelivered deployment ser	1,468,300	Contested	The buyer must incur cost to deliver services already paid for, so the	The standard treatment leaves deferred revenue inside working capital,	Retained in working capital, with the cost-to-deliver on the two large
Earn-out accrual - Larkspur Controls	214,000	Contingent consideration	The accrual represents an obligation measured at fair value under FASB	Because settlement depends on a revenue threshold that has not been me	Left as an open item; the reviewer records the range rather than adopt
Equipment finance facility - Wetherby Capital	2,846,500	Funded debt	The facility is interest-bearing with a fixed amortization schedule an	Management notes the assets financed are productive and would be repla	Treated as debt at the outstanding principal plus accrued interest to
Operating lease - Fremont facility	4,186,200	Operating lease	The recorded lease liability is a contractual obligation to pay money,	The rent is already inside EBITDA as an operating cost, so counting th	Excluded from net debt because rent remains in the earnings measure; d
Payroll tax exposure - contractor classificati	168,400	Tax exposure	Field contractors engaged before the February 2026 conversion may be r	The November 2025 settlement with a former contractor released claims	Treated as debt-like at a reduced amount; the settlement release limit
Sales and use tax exposure - three states	284,700	Tax exposure	No returns were filed in three states where the company has installed	Management holds a nexus opinion from its advisers concluding that ins	Treated as debt-like at the reviewer's low estimate; the opinion is no
Severance committed but unpaid at the measurem	96,800	Debt-like	Two separation agreements signed before the measurement date carry ins	Management argues the remaining instalments are contingent on continue	Treated as debt-like; the cooperation clauses do not create a genuine
Supplier deposits	312,800	Non-debt	The deposits are	They are	Excluded from both

Item	Balance ($)	Classification	Debt-like argument	Counter-argument	Treatment adopted
paid on second-generation to			recoverable in cash if the tooling order is cancelled	prepayments toward capital expenditure the buyer will receive	cash and working capital; disclosed within the capi
Undeposited receipts at the measurement date	68,400	Cash-like	Cheques received and recorded but not yet deposited are company funds	Two of the cheques had not cleared by the time the reconciliation was	Treated as cash with the uncleared items identified so the bank reconc
Unfunded paid time off liability	468,900	Debt-like	Accrued leave is a settled obligation to employees earned in pre-closi	The counter is that the liability is stable, self-renewing, and behave	Split treatment: the balance in excess of the trailing twelve-month av
Unpaid transaction and success fees	386,400	Debt-like	Adviser fees triggered by the transaction are pre-closing obligations	Some engagement letters make the fee payable only on a completed trans	Treated as a seller obligation in the funds flow rather than in net de

5. The working capital peg and its exclusions

Any item treated as debt-like must be excluded from the peg, and the schedule below shows that the two treatments are consistent with each other. Taken alone,, each adjustment records who proposed it, because an item put forward by management and an item found in diligence carry different evidential weight. On this point,, management prepares monthly reporting on a basis that differs from the statutory ledger in three respects, each of which is identified and removed before any analysis begins.

In review, the schedule presents unpaid transaction and success fees at $386,400, provisionally classified as debt-like. On its facts,, adviser fees triggered by the transaction are pre-closing obligations that the buyer would otherwise fund. Some engagement letters make the fee payable only on a completed transaction, which the seller argues is a seller obligation outside net debt. Treated as a seller obligation in the funds flow rather than in net debt, with the amount confirmed to the engagement letters. On Unpaid transaction and success, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. As matters stand, the reviewer set out the arguments on accrued employer payroll taxes on the bonus at $84,600, provisionally classified as debt-like. By agreement,, the payroll tax follows the bonus and is an unavoidable incremental cash cost of settling it. The seller argues payroll taxes are ordinary course and belong in accrued liabilities inside working capital. Treated consistently with the bonus itself and excluded from the working capital peg. On Accrued employer payroll taxes, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. On the substance, on cash held in the ontario deployment subsidiary the balance is $184,900 and the classification question is live. The reviewer notes intercompany settlement has historically taken six weeks, so availability is not immediate. In this stream,, the balance is unrestricted and available to the group without withholding cost. Treated as cash; the settlement lag is noted as a timing rather than a valuation issue. On Cash held in the, the amount was agreed to the underlying system extract without a residual difference.

Equipment finance facility - Wetherby Capital stands at $2,846,500. At the cut-off,, the facility is interest-bearing with a fixed amortization schedule and a prepayment fee, so it is unambiguously borrowed money. On Equipment finance facility -, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Against that, management notes the assets financed are productive and would be replaced with new borrowing in any case. For Equipment finance facility -, the item was raised in the interim update and is carried forward unchanged into this file. Equipment finance facility - is carried at a working classification of funded debt. In sequence, on supplier deposits paid on second-generation tooling the balance is $312,800 and the classification question is live. They are prepayments toward capital expenditure the buyer will receive the benefit of, not a liquid asset. By agreement,, the deposits are recoverable in cash if the tooling order is cancelled. Excluded from both cash and working capital; disclosed within the capital expenditure commentary. On Supplier deposits paid on, the reviewer confirmed the counterparty is not a related party before accepting the document at face value. Undeposited receipts at the measurement date stands at $68,400. In the event,, cheques received and recorded but not yet deposited are company funds evidenced by the receipt log. On Undeposited receipts at the, the reviewer confirmed that the same item does not also appear on the net debt schedule. Against that, two of the cheques had not cleared by the time the reconciliation was prepared. For Undeposited receipts at the, the amount was agreed to the underlying system extract without a residual difference. Undeposited receipts at the is carried at a working classification of cash-like.

On a second read, on deferred rent incentive on the fremont lease the balance is $142,600 and the classification question is live. It represents an accounting allocation of a landlord incentive rather than money owed to anyone. Taken alone,, the balance is a liability on the face of the balance sheet and reduces net assets. Excluded from net debt and from the working capital peg to avoid distorting either measure. On Deferred rent incentive on, reperformance used the contractual rate rather than the rate management had applied. Taken alone, on deferred consideration - larkspur controls acquisition the balance is $486,500 and the classification question is live. Management asserts part of the balance is contingent on the retention of two engineers. Per the index,, the remaining instalment is a fixed obligation payable in January 2027 regardless of performance. The fixed instalment is treated as debt; the retention-contingent portion is left as an open item pending the retention agreements. On Deferred consideration Larkspur, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Deferred revenue on undelivered deployment services stands at $1,468,300. On the source,, the buyer must incur cost to deliver services already paid for, so the balance carries an unfunded delivery obligation. On Deferred revenue on undelivered, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. Against that, the standard treatment leaves deferred revenue inside working capital, and the peg already reflects its normal level. Retained in working capital, with the cost-to-deliver on the two largest advance-billed contracts quantified separately. Deferred revenue on undelivered is carried at a working classification of contested.

At the cut-off, the reviewer set out the arguments on customer credits and unapplied cash owed at $196,400, provisionally classified as debt-like. On this point,, these are amounts the company owes customers for overpayments and service credits, with no offsetting benefit to the buyer. Management argues most balances are resolved within a quarter through future billings rather than cash refunds. For Customer credits and unapplied, the reviewer recorded the alternative treatment so that a reader can substitute it if the assumption is rejected. On Customer credits and unapplied, the item was traced from the summary schedule through the sub-ledger to the source document. In substance, the reviewer considered payroll tax exposure - contractor classification at $168,400, provisionally classified as tax exposure. On testing,, field contractors engaged before the February 2026 conversion may be reclassified, creating employer tax and penalty exposure. The November 2025 settlement with a former contractor released claims and management treats the matter as closed. For Payroll tax exposure -, the item was traced from the summary schedule through the sub-ledger to the source document. On Payroll tax exposure -, the item was traced from the summary schedule through the sub-ledger to the source document. On its facts, on revolving line of credit - fremont commercial bank the balance is $1,200,000 and the classification question is live. The seller argues the revolver funds seasonal working capital and should be netted inside the working capital peg instead. Per the register,, drawn amounts bear interest and are repayable on demand under the facility's borrowing base test. Treated as debt; the working capital peg is defined excluding revolver borrowings to avoid double counting. On Revolving line of credit, the item was projected across the population on the basis stated in the accompanying schedule.

6. Net debt and debt-like items

Where the reviewer could not reach a single answer, the item is left open with the range rather than resolved by preference. As matters stand,, related-party balances were identified from the ledger and from management inquiry; no independent search for undisclosed related parties was performed. On the record,, the billing system and the general ledger are reconciled monthly but the reconciliation was not evidenced by a preparer signature for four of the thirty months.

From the extract, the reviewer considered payroll tax exposure - contractor classification at $168,400, provisionally classified as tax exposure. On the substance,, field contractors engaged before the February 2026 conversion may be reclassified, creating employer tax and penalty exposure. The November 2025 settlement with a former contractor released claims and management treats the matter as closed. Treated as debt-like at a reduced amount; the settlement release limits but does not eliminate the exposure. On Payroll tax exposure -, because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. On inspection, also argued in both directions is supplier deposits paid on second-generation tooling at $312,800, provisionally classified as non-debt. Taken alone,, the deposits are recoverable in cash if the tooling order is cancelled. They are prepayments toward capital expenditure the buyer will receive the benefit of, not a liquid asset. Excluded from both cash and working capital; disclosed within the capital expenditure commentary. On Supplier deposits paid on, the reviewer confirmed the counterparty is not a related

party before accepting the document at face value. On reperformance, on accrued interest on the equipment facility the balance is $24,600 and the classification question is live. The amount is small and management would ordinarily leave it in accrued liabilities. In sequence,, interest accrued to the measurement date is part of the amount required to retire the facility. Treated as debt with the principal so the retirement amount is complete. On Accrued interest on the, the amount was agreed to the underlying system extract without a residual difference.

On the documents, the reviewer set out the arguments on customer credits and unapplied cash owed at $196,400, provisionally classified as debt-like. On the papers,, these are amounts the company owes customers for overpayments and service credits, with no offsetting benefit to the buyer. Management argues most balances are resolved within a quarter through future billings rather than cash refunds. Treated as debt-like where the customer has requested a refund, and left in working capital where it will be applied to future invoices. On Customer credits and unapplied, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Sales and use tax exposure - three states stands at $284,700. On the evidence,, no returns were filed in three states where the company has installed hardware and field staff, and the exposure is quantified with interest. On Sales and use tax, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Against that, management holds a nexus opinion from its advisers concluding that installation activity alone does not create a filing obligation. Treated as debt-like at the reviewer's low estimate; the opinion is noted and the full range is disclosed. Sales and use tax is carried at a working classification of tax exposure. Restricted cash securing the customer performance bond stands at $246,500. On the papers,, the balance is company cash and will be released when the Kadence go-live milestones complete. On Restricted cash securing the, the file records the question asked, the answer given and the document that settled it. Against that, because the cash cannot be accessed at closing, a buyer would not count it toward the purchase price. Excluded from cash at closing and disclosed; the release condition is documented in the bond. Restricted cash securing the is carried at a working classification of cash-like.

On a second read, on operating lease - fremont facility the balance is $4,186,200 and the classification question is live. The rent is already inside EBITDA as an operating cost, so counting the liability as debt charges the same obligation twice. In the event,, the recorded lease liability is a contractual obligation to pay money, which some buyers treat as debt-like. Excluded from net debt because rent remains in the earnings measure; disclosed for transparency. On Operating lease Fremont, the conclusion rests on a document produced by a third party rather than by the company. In sequence, turning to equipment finance facility - wetherby capital at $2,846,500, provisionally classified as funded debt. As matters stand,, the facility is interest-bearing with a fixed amortization schedule and a prepayment fee, so it is unambiguously borrowed money. Management notes the assets financed are productive and would be replaced with new borrowing in any case. Treated as debt at the outstanding principal plus accrued interest to the measurement date. On Equipment finance facility -, the item is retained in the file even though it does not change the conclusion, so the trail remains complete. Severance committed but unpaid at the measurement date stands at $96,800. On the record,, two separation agreements signed before the measurement date carry instalments falling due afterwards. On Severance committed but unpaid, the reviewer noted the item for the closing meeting agenda because the seller had not seen the analysis before fieldwork. Against that, management argues the remaining instalments are contingent on continued cooperation clauses. For Severance committed but unpaid, the workpaper reference and the preparer's initials are recorded in the index so the step can be reperformed. Severance committed but unpaid is carried at a working classification of debt-like.

Per the index, a contested item is accrued discretionary bonus - fy2026 plan at $642,800, provisionally classified as debt-like. In sequence,, the bonus relates to performance in periods before closing and would be paid by the buyer out of post-closing cash. The plan is discretionary and the board has withheld payment before, most recently in December 2024. Treated as debt-like on the basis that the service period is pre-closing; the December 2024 precedent is noted for the negotiation. On Accrued discretionary bonus -, the amount was agreed to the underlying system extract without a residual difference. As matters stand, on unfunded paid time off liability the balance is $468,900 and the classification question is live. The counter is that the liability is stable, self-renewing, and behaves like a permanent feature of working capital. On testing,, accrued leave is a settled obligation to employees earned in pre-closing periods and is payable in cash on departure. Split treatment: the balance in excess of the trailing twelve-month average is treated as debt-like and the stable core stays in working capital. On Unfunded paid time off, this item is one of the few in the file where the seller's and the reviewer's figures agree exactly. Accrued employer payroll taxes on the bonus stands at $84,600. On its facts,, the payroll tax follows the bonus and is an unavoidable incremental cash cost of settling it. On Accrued employer payroll taxes,

because the item straddles two reporting periods it appears in the trend analysis twice, once in each direction. Against that, the seller argues payroll taxes are ordinary course and belong in accrued liabilities inside working capital. Treated consistently with the bonus itself and excluded from the working capital peg. Accrued employer payroll taxes is carried at a working classification of debt-like.

Schedule 18.4 - Bank reconciliation items

Item	Per bank ($)	Per ledger ($)	Difference ($)	Type	Clearing
2025-11 Deposit in transit	41,859	46,323	(4,464)	Deposit in transit	Cleared after the cut-off
2026-06 Bank charge not recorded	374,174	368,777	5,397	Bank charge not recorded	Cleared in the following month
2025-01 Customer receipt unapplied	357,014	353,119	3,895	Customer receipt unapplied	Still open at the date of this file
2024-09 Bank charge not recorded	58,303	65,011	(6,708)	Bank charge not recorded	Cleared within five business days
2026-04 Customer receipt unapplied	175,249	197,291	(22,042)	Customer receipt unapplied	Cleared after the cut-off
2025-11 Returned payment	415,785	397,455	18,330	Returned payment	Written off as unidentifiable
2025-04 Customer receipt unapplied	229,683	239,641	(9,958)	Customer receipt unapplied	Still open at the date of this file
2025-10 Returned payment	347,346	333,828	13,518	Returned payment	Still open at the date of this file
2024-05 Deposit in transit	235,664	240,056	(4,392)	Deposit in transit	Written off as unidentifiable
2025-03 Direct debit not recorded	33,470	57,503	(24,033)	Direct debit not recorded	Cleared after the cut-off
2025-02 Interest credit not recorded	266,936	248,956	17,980	Interest credit not recorded	Cleared after the cut-off
2026-01 Returned payment	204,708	226,651	(21,943)	Returned payment	Cleared within five business days
2025-04 Deposit in transit	415,501	426,963	(11,462)	Deposit in transit	Still open at the date of this file
2026-04 Direct debit not recorded	444,220	432,416	11,804	Direct debit not recorded	Still open at the date of this file
2024-03 Deposit in transit	168,167	145,482	22,685	Deposit in transit	Cleared within five business days
2025-03 Returned payment	130,795	117,447	13,348	Returned payment	Cleared after the cut-off
2025-09 Ledger posting error	389,050	392,586	(3,536)	Ledger posting error	Cleared in the following month
2026-03 Returned payment	337,144	358,003	(20,859)	Returned payment	Written off as unidentifiable
2026-05 Returned payment	262,540	265,477	(2,937)	Returned payment	Still open at the date of this file
2026-03 Interest credit not recorded	380,154	399,406	(19,252)	Interest credit not recorded	Written off as unidentifiable
2024-02 Interest credit not recorded	325,504	306,828	18,676	Interest credit not recorded	Cleared in the following month
2024-03 Returned payment	313,186	291,274	21,912	Returned payment	Written off as unidentifiable

7. Stratification of the journal population and selection basis

Round-dollar and post-close counts are reported by stratum, because the concentration of those characteristics is what directed the selection. From the extract,, approver fields are blank on a subset of journal entries, which prevents any conclusion on the operation of the journal approval control during the affected periods. On the source,, management represented that the capitalized configuration work created a lasting integration component; the ticket detail supports this for part of the amount only.

JE-26-0556 is a unapproved manual entry of $168,000 posted on 2026-06-30. In sequence,, a headcount annualization entry was posted at the period end with no approver and no supporting offer letters attached. On this unapproved manual entry, the item was projected across the population on the basis stated in the accompanying schedule. This unapproved manual entry was prepared by M. Okonjo and with no approver recorded. For this unapproved manual entry, the reviewer confirmed that the same item does not also appear on the net debt schedule. JE-24-1118 is a post-close adjustment of $267,500 posted on 2024-12-31. On the papers,, an inventory obsolescence charge was posted eleven days

after the close was declared complete. On this post-close adjustment, no projection was made from this item because it arises from a single identifiable event. This post-close adjustment was prepared by External adviser and approved by M. Okonjo. The entry is supported by an engineering change notice; the reviewer split it between recurring and one-time components. Taken alone, a interim staffing accrual of $34,000 appears as JE-26-0291 on 2026-03-27. On the papers,, the final month of the interim finance engagement was accrued at a rate different from the engagement letter. The difference is small; the engagement letter rate was used in the reviewer's recomputation. For this interim staffing accrual the preparer was L. Brantley, approved by M. Okonjo. On this interim staffing accrual, the item was projected across the population on the basis stated in the accompanying schedule.

JE-26-0074 is a round-dollar entry of $50,000 posted on 2026-01-30. On this point,, an exactly round legal accrual was posted for an unbilled matter with no engagement letter on file. On this round-dollar entry, the item was traced from the summary schedule through the sub-ledger to the source document. This round-dollar entry was prepared by L. Brantley and approved by M. Okonjo. Counsel confirmed the estimate in March 2026 at a different amount; the difference is immaterial and was left uncorrected. On the source, a capitalization entry of $213,800 appears as JE-25-0311 on 2025-03-31. At the cut-off,, deployment crew labour was moved from cost of sales to internal-use software in a single quarter-end entry. The reviewer reversed the entry in its analysis; management has since changed the coding rule at source. For this capitalization entry the preparer was M. Okonjo, approved by T. Vasquez. On this capitalization entry, the conclusion is stated at the low end of the supportable range, as the file convention requires. On the substance, the reviewer examined JE-25-0822, posted 2025-08-29 by R. Calloway approved by R. Calloway, for $186,400 and classified as a self-approved entry. In substance,, the severance accrual for the departing operations leader was prepared and approved by the same person. The separation agreement supports the amount; the control exception is reported without a monetary adjustment. On this self-approved entry, the explanation offered was plausible and was still corroborated against a document before being accepted.

On the evidence, a lease accounting entry of $62,400 appears as JE-24-0301 on 2024-02-29. Per the index,, the Fremont abatement was recorded as a rent reduction in the abated months rather than straight-lined. The straight-line schedule was recomputed and the normalization placed on the adjustment schedule. For this lease accounting entry the preparer was M. Okonjo, approved by T. Vasquez. On this lease accounting entry, the reviewer's supervisor reviewed this conclusion because it rests partly on judgment. By agreement, the reviewer selected JE-25-1174, posted 2025-11-28 by M. Okonjo approved by T. Vasquez, for $118,700 and classified as a credit memorandum. On the papers,, a service credit to a major account was posted as a reduction of revenue rather than as a contract liability. The classification is defensible but the recurrence judgment on the underlying credit was changed by the reviewer. On this credit memorandum, the reviewer checked whether the same condition arises in the other periods reviewed and reported the result. By agreement, a unapproved manual entry of $148,600 appears as JE-24-0418 on 2024-03-31. On the balance,, a revenue reclassification posted on the last day of the quarter carries no approver in the workflow log. For this unapproved manual entry, the item was selected for testing because of its characteristics rather than its size. For this unapproved manual entry the preparer was R. Calloway, with no approver recorded. On this unapproved manual entry, the reviewer compared the item with the equivalent balance in the prior period before reaching a view.

On reperformance, a entry by an unexpected preparer of $62,400 appears as JE-25-0517 on 2025-05-30. In review,, a revenue entry was prepared by a member of the sales operations team rather than the accounting team. The entry was correct, but preparer access rights were reviewed and narrowed in July 2025. For this entry by an unexpected preparer the preparer was L. Brantley, approved by M. Okonjo. On this entry by an unexpected, a second preparer reperformed the arithmetic and reached the same figure to the dollar. On the substance, testing surfaced JE-25-0142, posted 2025-02-28 by L. Brantley approved by M. Okonjo, for $42,000 and classified as a round-dollar entry. Per the workpaper,, a round accrual for recruiting fees was posted before the search firm's invoice arrived. The invoice differed by a small amount and the accrual was trued up in March 2025; no further action required. On this round-dollar entry, the evidence was inspected in original form rather than as a management-prepared summary. On the source, testing surfaced JE-26-0248, posted 2026-03-31 by M. Okonjo approved by T. Vasquez, for $53,400 and classified as a misapplied cash receipt. In detail,, an Evergreen overpayment was applied to a settled invoice and released to revenue. For this misapplied cash receipt, the item was raised in the interim update and is carried forward unchanged into this file. On this misapplied cash receipt, the evidence file for this item includes an email chain that fixes the date on which the parties agreed.

Schedule 18.5 - Monthly working capital build

Month	Receivables ($)	Unbilled ($)	Inventory ($)	Prepaid ($)	Payables ($)	Accrued ($)	Deferred revenue ($)	Net working capital ($)
2024-04	6,369,718	1,446,709	2,388,976	348,768	(2,120,544)	(1,668,190)	(5,102,147)	1,663,290
2024-05	4,559,707	1,055,700	2,873,352	582,380	(3,843,399)	(1,985,108)	(6,033,873)	(2,791,241)
2024-06	3,184,525	1,408,149	2,365,558	767,375	(3,125,695)	(2,081,220)	(6,240,660)	(3,721,968)
2024-07	3,834,863	1,225,220	2,811,836	641,205	(2,746,946)	(1,713,949)	(6,342,301)	(2,290,072)
2024-08	6,385,699	1,221,920	2,859,757	603,786	(3,149,323)	(2,339,825)	(6,537,614)	(955,600)
2024-09	6,025,865	2,250,670	2,814,080	725,568	(1,708,490)	(1,553,139)	(6,412,614)	2,141,940
2024-10	6,785,867	1,961,400	2,012,419	403,720	(3,339,405)	(1,303,379)	(5,405,386)	1,115,236
2024-11	5,452,913	643,703	2,233,219	709,278	(2,240,822)	(1,220,169)	(4,631,877)	946,245
2024-12	4,814,557	2,252,146	2,058,645	625,724	(2,309,360)	(2,132,404)	(5,091,592)	217,716
2025-01	3,520,689	1,130,254	2,770,784	465,765	(2,103,720)	(1,492,151)	(5,092,709)	(801,088)
2025-02	5,292,903	1,664,558	2,902,422	522,556	(1,657,542)	(2,223,548)	(4,267,016)	2,234,333
2025-03	6,327,407	2,027,345	2,333,297	380,002	(1,915,940)	(1,763,161)	(4,171,696)	3,217,254
2025-04	3,592,502	1,344,381	2,547,089	604,488	(3,853,354)	(2,163,939)	(4,524,634)	(2,453,467)
2025-05	4,066,127	2,206,013	3,105,363	444,955	(3,867,198)	(1,575,421)	(5,121,055)	(741,216)
2025-06	5,363,186	749,626	2,372,011	597,010	(2,970,933)	(1,418,550)	(5,213,918)	(521,568)
2025-07	3,335,411	2,376,535	2,865,115	557,214	(1,712,965)	(1,800,087)	(4,982,334)	638,889
2025-08	3,384,486	1,683,622	3,391,969	730,364	(1,789,694)	(1,203,336)	(5,058,397)	1,139,014
2025-09	4,732,810	1,589,051	2,625,689	741,214	(2,384,623)	(2,258,806)	(5,512,373)	(467,038)
2025-10	4,145,578	733,377	2,428,987	498,481	(1,850,741)	(1,138,344)	(6,439,905)	(1,622,567)
2025-11	4,053,890	1,817,513	2,867,095	552,977	(3,676,040)	(1,328,587)	(6,824,803)	(2,537,955)
2025-12	6,692,218	2,011,324	3,059,472	733,712	(2,510,873)	(1,623,902)	(7,115,885)	1,246,066
2026-01	6,486,599	2,176,102	2,942,106	455,077	(3,648,294)	(1,222,066)	(7,699,506)	(509,982)
2026-02	3,358,029	1,205,830	2,799,317	780,315	(2,854,937)	(958,248)	(7,916,683)	(3,586,377)
2026-03	3,372,028	750,988	2,256,941	677,251	(1,716,586)	(1,773,234)	(8,111,920)	(4,544,532)

8. Disposition of the adjustment schedule with reasons

The reviewer accepted some items in full, reduced others to the amount the evidence supports, and rejected several outright; the reason is recorded in every case. By agreement,, the fixed asset register has not been reconciled to the general ledger, so depreciation within the earnings measure cannot be tied to asset-level records. Against the ledger,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible.

ADJ-34 concerns capitalized cloud configuration cost and was raised by diligence as a reclassification item. Per the workpaper,, configuration work on a hosted platform was capitalized although the tickets describe implementation and data migration activity rather than the development of a new asset. On Capitalized cloud configuration cost, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Capitalized cloud configuration cost is recorded as a deduction of $97,200 in FY2025, evidenced by the internal-use software addition schedule and the underlying engineering tickets. Capitalized cloud configuration cost was reduced at $61,400: the reviewer accepted that a portion of the work created a genuine integration component and reclassified the balance to operating expense. ADJ-40 concerns government innovation grant recognized in other income and was raised by diligence as a normalization item. In the file,, a state innovation grant was recognized in a single tranche on receipt and is not available in the periods a buyer would own. On Government innovation grant recognized, the supporting analysis was rebuilt from source rather than reviewed, because the calculation drives an adjustment. Government innovation grant recognized is recorded as a deduction of $65,000 in FY2024, evidenced by the grant agreement, the milestone certification and the receipt advice. Government innovation grant recognized was accepted at $65,000: the grant agreement is a fixed-term programme that expired in 2025, so its removal is supported by the instrument itself. At the cut-off, the tie-out includes ADJ-10, Deployment labour capitalized in error, which deducts $213,800 against FY2025 on a reclassification basis. As matters stand,, field crew hours spent commissioning customer sites were added to internal-use software rather than expensed, understating cost of deployment services in the year the work was performed. Support consists of the fixed asset addition schedule traced to timesheets for four deployment crews, and the item was put forward by diligence. Deployment labour capitalized in was accepted at $213,800: the timesheets identify customer sites rather than internal projects, so the cost belongs in operating results. On Deployment labour capitalized in, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items.

In detail, management proposed ADJ-22 at $138,900 for Q1-2026, described as contractor conversion cost differential. In sequence,, eleven field technicians converted from agency contracts to direct employment in February

2026, and management annualizes the resulting rate saving. Contractor conversion cost differential was reduced at $92,400: the reviewer applied the differential only to the converted population and added back employer taxes and benefit loading management had omitted. Contractor conversion cost differential carries a recurrence judgment of run-rate, and the supporting file is offer letters for eleven converted contractors and the contractor billing history. On Contractor conversion cost differential, no further procedures were considered necessary once the source document had been inspected. On the substance, diligence proposed ADJ-20 at $84,300 for LTM Jun-2026, described as unfunded paid time off accrual movement. Taken alone,, the PTO liability grew as headcount rose without a corresponding expense charge because the accrual was maintained on a cash-settlement basis. Unfunded paid time off was accepted at $84,300: the liability rollforward isolates the movement and management agreed the accrual policy understated the period charge. Unfunded paid time off carries a recurrence judgment of normalization, and the supporting file is the PTO liability rollforward and the human resources balance report. On Unfunded paid time off, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given. ADJ-06 concerns recruiting fees for the replacement operations leader and was raised by management as a normalization item. On the substance,, management treats executive search cost as an event cost tied to the departure rather than an ongoing expense. On Recruiting fees for the, the reviewer declined to net this item against another with an opposite direction in the same period. Recruiting fees for the is recorded as a add-back of $74,600 in FY2025, evidenced by the search-firm invoice and the executed offer letter. Recruiting fees for the was rejected outright: the company filled six senior roles through retained search across the review period, so search fees are a recurring feature of this cost base.

On reperformance, management proposed ADJ-32 at $120,000 for FY2024, described as management fee charged by the founder holding entity. On the papers,, a flat monthly fee charged by a founder-controlled entity covers services partly replaced by the company's own finance team since mid-2024. Management fee charged by was reduced at $74,000 and the reason sits on the schedule itself. Management fee charged by carries a recurrence judgment of normalization, and the supporting file is the intercompany invoice series and the services description in the shared services memorandum. On Management fee charged by, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. ADJ-09 concerns stock compensation expense and was raised by management as a normalization item. On the evidence,, non-cash share-based compensation measured under FASB ASC Topic 718 is removed to reach a cash earnings measure, consistent with how the lenders in the process model the business. On Stock compensation expense, the item is cross-referenced to the corresponding entry in the information request register. Stock compensation expense is recorded as a add-back of $1,247,300 in LTM Jun-2026, evidenced by the equity administrator's expense report reconciled to the payroll and equity ledgers. Stock compensation expense was accepted at $1,247,300: the expense agrees between the equity administrator's report and the general ledger, and no portion was settled in cash during the period. ADJ-19 concerns customer credit issued for the asterion availability shortfall and was raised by management as a normalization item. In detail,, management presents the credit as a one-off concession to preserve a strategic account. On Customer credit issued for, the reviewer noted that the treatment adopted here must be applied consistently to the comparable item elsewhere in the file. Customer credit issued for is recorded as a add-back of $118,700 in FY2025, evidenced by the credit memorandum, the service level report and the settlement email chain. Customer credit issued for was rejected outright: service credits were issued in seven of the twenty-four months reviewed, so the reviewer treats them as a recurring cost of the service commitment rather than an isolated event.

By reference, diligence proposed ADJ-08 at $96,150 for FY2025, described as warranty reserve release. As matters stand,, a reserve established in 2023 for a superseded gripper assembly was released to cost of sales in June 2025, flattering reported margin in a period with no offsetting claim experience. Warranty reserve release was accepted at $96,150: the release is visible as a single credit journal and the failure log shows no corresponding decline in claim volume. Warranty reserve release carries a recurrence judgment of normalization, and the supporting file is the warranty reserve rollforward and the field failure log. On Warranty reserve release, the reviewer's conclusion here differs from the position taken in the seller's own vendor material. Per the register, management proposed ADJ-30 at $63,750 for Q1-2026, described as relocation and immigration cost for two senior hires. Per the workpaper,, two senior engineering hires carried relocation and immigration cost that management characterizes as a hiring event rather than an ongoing expense. Relocation and immigration cost was reduced at $41,500: the reviewer allowed the immigration component, which is genuinely episodic, and left relocation in reported cost because the company relocated hires in each of the three years reviewed. Relocation and immigration cost carries a recurrence judgment of non-recurring, and the supporting file is

relocation vendor invoices and the two executed offer letters. On Relocation and immigration cost, the direction of this item is unfavourable to the seller and it is reported on the same basis as the favourable items. On this point, management proposed ADJ-14 at $154,900 for FY2024, described as bad debt write-off on the dunbar industrial receivable. On a second read,, the customer entered an assignment for benefit of creditors in October 2024 and the balance was written off in full. Bad debt write-off on was reduced at $118,400: the reviewer left a normal-course provision equal to the three-year average write-off rate in reported results and added back only the excess. Bad debt write-off on carries a recurrence judgment of non-recurring, and the supporting file is the write-off approval memorandum and the customer's bankruptcy notice. On Bad debt write-off on, the item was raised in the interim update and is carried forward unchanged into this file.

Schedule 18.6 - Reported to adjusted earnings bridge

Period and step	Movement ($)	Running total ($)	Note
FY2024 - Reported operating result	0	6,064,398	Accepted at the reviewer's amount
FY2024 - Depreciation and amortization	113,045	6,177,443	Non-cash and removed in full
FY2024 - Share-based compensation	(262,989)	5,914,454	Rejected with the reason stated
FY2024 - Accepted non-recurring items	370,821	6,285,275	Annualized on signed commitments
FY2024 - Accepted normalizations	142,535	6,427,810	Accepted at the amount proposed
FY2024 - Accepted run-rate items	605,061	7,032,871	Accepted at the amount proposed
FY2024 - Reduced items at the accepted amount	(294,414)	6,738,457	Non-cash and removed in full
FY2024 - Rejected items (no effect)	0	6,738,457	Reduced with the reason stated on the schedule
FY2024 - Adjusted earnings measure	0	6,738,457	Per the statutory ledger
FY2025 - Reported operating result	0	2,084,110	Accepted at the amount proposed
FY2025 - Depreciation and amortization	1,072,442	3,156,552	Sum of the preceding lines
FY2025 - Share-based compensation	597,813	3,754,365	Annualized on signed commitments
FY2025 - Accepted non-recurring items	528,770	4,283,135	Rejected with the reason stated
FY2025 - Accepted normalizations	797,582	5,080,717	Non-cash and removed in full
FY2025 - Accepted run-rate items	(345,809)	4,734,908	Reduced with the reason stated on the schedule
FY2025 - Reduced items at the accepted amount	927,703	5,662,611	Non-cash and removed in full
FY2025 - Rejected items (no effect)	0	5,662,611	Sum of the preceding lines
FY2025 - Adjusted earnings measure	0	5,662,611	Accepted at the reviewer's amount
LTM Jun-2026 - Reported operating result	0	4,629,592	Non-cash and removed in full
LTM Jun-2026 - Depreciation and amortization	316,766	4,946,358	Annualized on signed commitments
LTM Jun-2026 - Share-based compensation	1,127,082	6,073,440	Sum of the preceding lines
LTM Jun-2026 - Accepted non-recurring items	1,051,246	7,124,686	Accepted at the reviewer's amount
LTM Jun-2026 - Accepted normalizations	967,139	8,091,825	Excluded from the earnings measure
LTM Jun-2026 - Accepted run-rate items	746,872	8,838,697	Rejected with the reason stated
LTM Jun-2026 - Reduced items at the accepted amount	254,171	9,092,868	Per the statutory ledger
LTM Jun-2026 - Rejected items (no effect)	0	9,092,868	Annualized on signed commitments
LTM Jun-2026 - Adjusted earnings measure	0	9,092,868	Sum of the preceding lines

9. What was reviewed, from which systems, and on what basis

The reviewer records the boundaries of the work at the front of the file so that the reader can see what has not been done as clearly as what has. At the cut-off,, management represented that all engagement letters for adviser fees exist, but two invoices remain unsupported after two requests. As to the facts,, management represented that the second customer summit is discretionary; the reviewer inspected a signed venue contract dated before the cut-off.

On the papers,, recurrence is judged on evidence about the future obligation rather than on whether the cost is unusual, which is why several items management called one-time were rejected. On inspection,, coverage of the customer base is complete for the twenty-five largest accounts by revenue and sampled below that level, with the sampling basis stated wherever a projection is made. In substance,, reconciliation differences are reported at the amount found, including small residuals, rather than being described as immaterial and omitted. HC-2047 (Blue Mesa Components) runs 24 months from 2024-04-02. In review,, a single line replenishment cell transfers on delivery, and the subscription and remote monitoring service are billed together but delivered continuously. Under Blue Mesa Components, the evidence file for this item includes an email chain that fixes the date on which the parties agreed. Blue Mesa Components carries contracted hardware of $612,400, annual subscription value of $348,000 and a deployment fee of $86,500 across the contracted term. No modifications; the customer exercised a renewal option in April 2026 on identical terms. For Blue Mesa Components, the reviewer recorded that no comparable item was found in the two earlier periods examined.

Per the workpaper,, management represented that the extended warranty added to one contract is immaterial as a separate performance obligation, without providing a quantification. On the evidence,, fieldwork ran from 2026-06-18 to 2026-07-16 with two site visits to Fremont and one remote session with the Ontario team, and all inquiry responses are recorded with the name of the respondent. At the cut-off,, because no audited financial statements exist for any period in scope, every opening balance rests on management's own records and on the review engagement's limited procedures. HC-2092 (Meridian Cold Chain) runs 36 months from 2025-05-30. On the balance,, refrigerated environment units transfer on acceptance after a thermal validation period, with a subscription and a validation services obligation. Under Meridian Cold Chain, the reviewer asked for the underlying system report and worked from that rather than from the extract provided. Meridian Cold Chain carries contracted hardware of $1,486,200, annual subscription value of $742,800 and a deployment fee of $196,000 across the contracted term. On Meridian Cold Chain, reperformance used the contractual rate rather than the rate management had applied. Revenue for the validation obligation was recognized before the extended validation completed; the cutoff test flagged the timing.

In sequence,, management represented that no undisclosed related-party arrangements exist beyond the sublease and the management fee identified in the ledger. On the source,, management represented that the pending change request on one contract will be priced at list, which cannot be tested until the change is executed. On the merits,, two months of Ontario subsidiary bank statements were not provided, so cash proof coverage for that entity is materially lower than for the parent and no projection was attempted across the gap. From the extract, Quarrybrook Fulfilment contracted under HC-2115 on 2025-10-02. Per the workpaper,, a single site with hardware, subscription and a light onboarding obligation delivered over four weeks. No amendments; the contract is the cleanest in the population and was used as the control item in sample testing. Commercially Quarrybrook Fulfilment carries contracted hardware of $542,600, annual subscription value of $296,800 and a deployment fee of $68,000 over 24 months. No exceptions found; the contract was retested by a second preparer to confirm the testing approach reproduces. Under Quarrybrook Fulfilment, this item was discussed with the controller on the second day of fieldwork and the explanation is recorded as given.

As matters stand,, second-preparer reperformance was applied to one contract in each testing stream so that the testing approach itself is evidenced as reproducible. On the documents,, source data was extracted from the general ledger on 2026-07-02 and from the billing platform on 2026-07-03; extracts taken after those dates were used only to confirm subsequent settlement. Read narrowly,, management represented that customer credits are ordinarily applied against future billings rather than refunded, and the credit listing shows two accounts that have requested cash refunds. On inspection, the contract register lists HC-2144 with Vantage Cold Storage, signed 2026-04-07 for 36 months and carrying contracted hardware of $1,368,700, annual subscription value of $704,500 and a deployment fee of $186,500. On the merits,, hardware, subscription and a validation obligation similar in structure to the Meridian contract but with a fixed-fee validation. No amendments; a change request for additional units was pending at the cut-off and had not been priced. The pending change request is disclosed as an open item because it may create variable consideration in the period after

the cut-off. Under Vantage Cold Storage, the item was traced from the summary schedule through the sub-ledger to the source document.

The reviewer retained the following because a later reader will otherwise repeat work that has already been done once. Redbank Distribution under HC-2121 also bears on the cost analysis for spares pool carrying cost. On Redbank Distribution, the waived damages were not recorded as variable consideration in the periods to which they related; the amendment accounting is an open item. For Spares pool carrying cost, the spares pool was enlarged when the Kadence contract introduced a contractual parts availability commitment. Redbank Distribution carries a deployment element of $342,500 against a cost line of $146,800 for the trailing period.

The following point was raised in the seller's response to the draft and is recorded together with the reviewer's answer. The cost line for layout simulation and design was reopened when journal JE-25-0388 was examined a second time. For the unapproved manual entry entry, the reclassification has no effect on the earnings measure; the missing approval is reported as a control observation. On Layout simulation and design, because the activity is billed, it belongs in cost of sales rather than being treated as a launch investment. Layout simulation and design moved consistently with the entry value of $18,460 between FY2025 and the trailing twelve months.